

BANARAS HINDU UNIVERSITY
B.Com. (Hons.) — Semester I Examination, 2022-23

Paper No. BCH-114: Monetary Theory

Time: 3 Hours

Maximum Marks: 70

Instructions: Answer all questions. All questions carry equal marks (14 marks each).

Question 1. Define money and discuss its main approaches. [14]

OR

Discuss the importance of money in capitalist and socialist economy. [14]

Question 2. Discuss the different kinds of monetary standard. [14]

OR

Explain the salient features, merits and demerits of gold standard. [14]

Question 3. What is bank money? Describe the process and limitations of credit creation by banks. [14]

OR

What is meant by value of money? Discuss the Fisher's quantity theory of money. [14]

Question 4. Explain the Cambridge equation of the quantity theory of money. Is it an improvement over Fisher's equation? Describe. [14]

OR

Explain the various methods for the issue of paper currency notes and which method is adopted by the Reserve Bank of India? [14]

Question 5. Why is inflation caused? What are the various measures usually adopted for controlling inflation? Explain. [14]

OR

Distinguish between disinflation and reflation and explain the causes and effects of both. [14]

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